



MANAGERIAL ACCOUNTING

8TH EDITION

BY

HANSEN & MOWEN

PowerPoint Presentation by
Gail B. Wright
Professor Emeritus of Accounting
Bryant University

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1 INTRODUCTION

LEARNING OBJECTIVES

After studying this chapter, you should be able to:



LEARNING OBJECTIVES

1. Discuss the need for management accounting information.
2. Differentiate between management accounting & financial accounting.
3. Provide a brief historical description of management accounting.

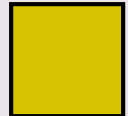
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LEARNING OBJECTIVES

4. Identify the current focus of management accounting.
5. Describe role of management accountants in an organization.
6. Explain importance of ethical behavior for managers, management accountants.
7. List 3 forms of certification available to management accountants.

*Click the button to skip
Questions to Think About*



QUESTIONS TO THINK ABOUT: Scenarios

Who uses management
accounting information?



QUESTIONS TO THINK ABOUT: Scenarios

For what purposes is
management accounting
information used?



QUESTIONS TO THINK ABOUT: Scenarios

Should management
accounting information
provide both financial &
nonfinancial information?



QUESTIONS TO THINK ABOUT: Scenarios

What organizations need a
management accounting
information system?



LEARNING OBJECTIVE

1

Discuss the need for management accounting information.



MANAGEMENT ACCOUNTING: Objectives

- * Costing services, products, other objectives of interest to management;
- * Planning, controlling, evaluating, & continuous improvement;
- * Decision making.



INFORMATION NEEDS: Costing & Decision Making

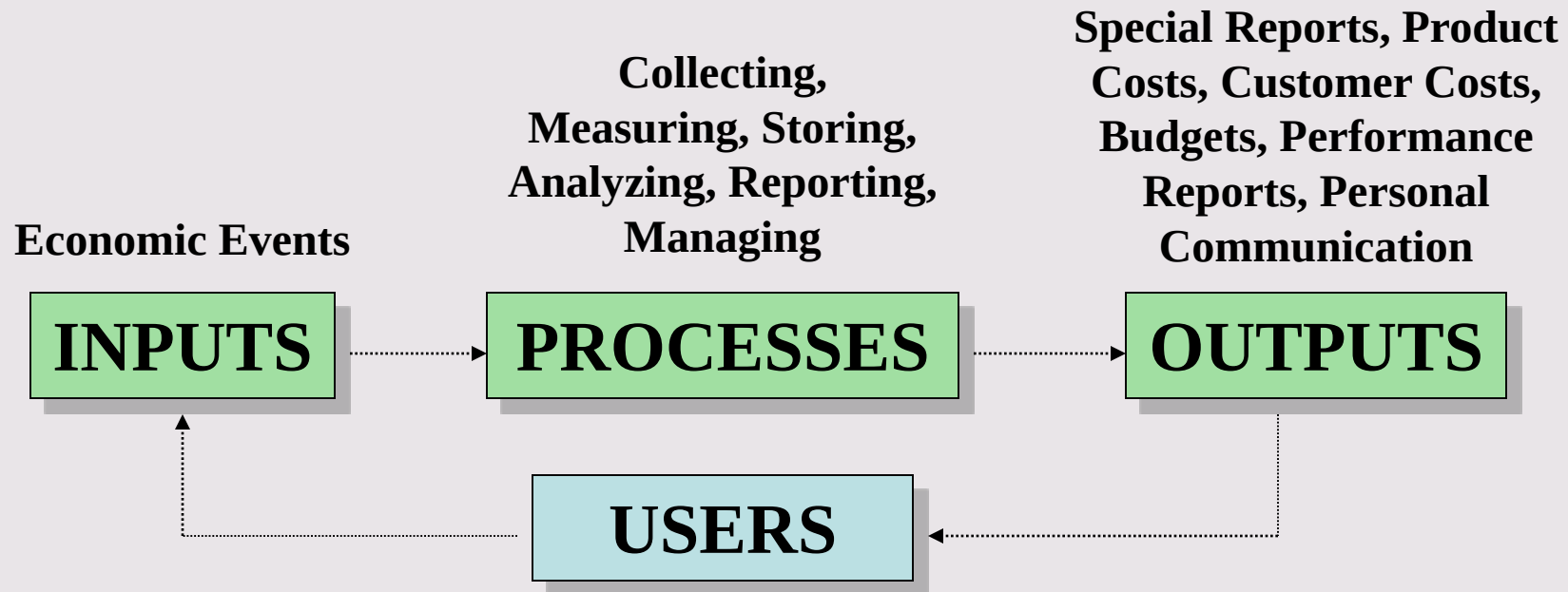


EXHIBIT 1-1

INFORMATION NEEDS: The Management Process

* Planning

- * Detailed actions to achieve a particular end

* Controlling

- * Monitoring plan implementation & employing corrective action when necessary

* Decision making

- * Choosing among competing alternatives



LEARNING OBJECTIVE

2

Differentiate between
management accounting
& financial accounting.



Financial accounting is for external users and follows restrictive rules and regulations.

Managerial accounting is for internal users (managers) who plan, control, and make decisions.



A COMPARISON: Management vs. Financial Accounting

Management Accounting	Financial Accounting
1. Internally focused	1. Externally focused
2. No mandatory rules	2. Must follow externally imposed rules
3. Financial and nonfinancial information; subjective information possible	3. Objective financial information
4. Emphasis on the future	4. Historical orientation
5. Internal evaluation and decisions based on very detailed information	5. Information about the firm as a whole
6. Broad, multidisciplinary	6. More self-contained

Exhibit 1-2 Comparison of Management and Financial Accounting

EXHIBIT 1-2

LEARNING OBJECTIVE

3

Provide a brief historical description of management accounting.



**Do you know when
accounting for
managerial decision
making began?**



MANAGERIAL ACCOUNTING HISTORY

- ✧ Beginnings between 1880 and 1925
 - ✧ Pre-1915, management accounting focused on product costing, that is, what products provided best profit
- ✧ 1925 to 1950, emphasis on inventory costing systems
 - ✧ Improvements to inventory costing in 1950s and 1960s
 - ✧ 1980s recognized need for improvements in management accounting



LEARNING OBJECTIVE

4

Identify the current focus of management accounting.



**Do you know what the
current focus for
managerial accounting
is?**



CURRENT FOCUS

- ✧ Need for innovation and relevant produces:
 - ✧ Activity based management
 - ✧ ABC Improves accuracy of assigning costs
 - ✧ Customer orientation
 - ✧ Strategic positioning to maintain competitive advantage
 - ✧ Value chain framework to focus on customer value
 - ✧ Cross functional perspective
 - ✧ Understand importance of value chain from manufacturing to marketing to distribution to customer service

Continued



CURRENT FOCUS

✧ Need for innovation and relevant produces

(cont.)

- ✧ Total quality management emphasized continuous improvement
- ✧ Time becomes a competitive advantage for the firm who can compress the value chain
- ✧ Improving efficiency for profit performance
- ✧ E-business for cost reduction

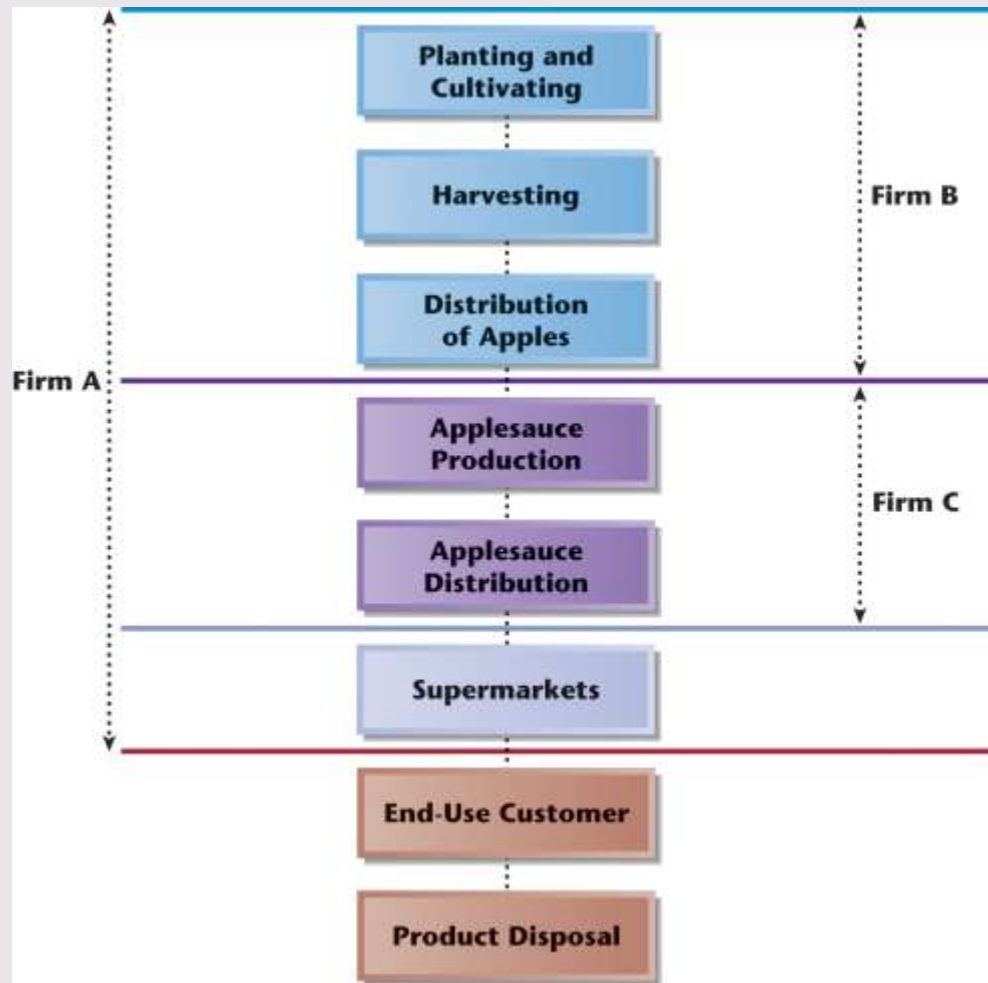


**What does a value chain
look like?**

How does it work?



INDUSTRIAL VALUE CHAIN



A value chain combines the output of several firms sequentially to meet customer needs.

EXHIBIT 1-3

Industrial value chain is critical for strategic cost management. It links value-creating activities from raw materials to disposal of final product by end-use customers.



LEARNING OBJECTIVE

5

Describe the role of the management accountant.



SARBANES-OXLEY

- ✧ Enhanced the role of the management accountant by
 - ✧ Tightening regulation of corporate governance
 - ✧ Establishing controls over management
 - ✧ Raising importance of management's assessment of internal controls



**How many roles for a
management
accountant can you
name?**



ORGANIZATIONAL CHART (Partial)

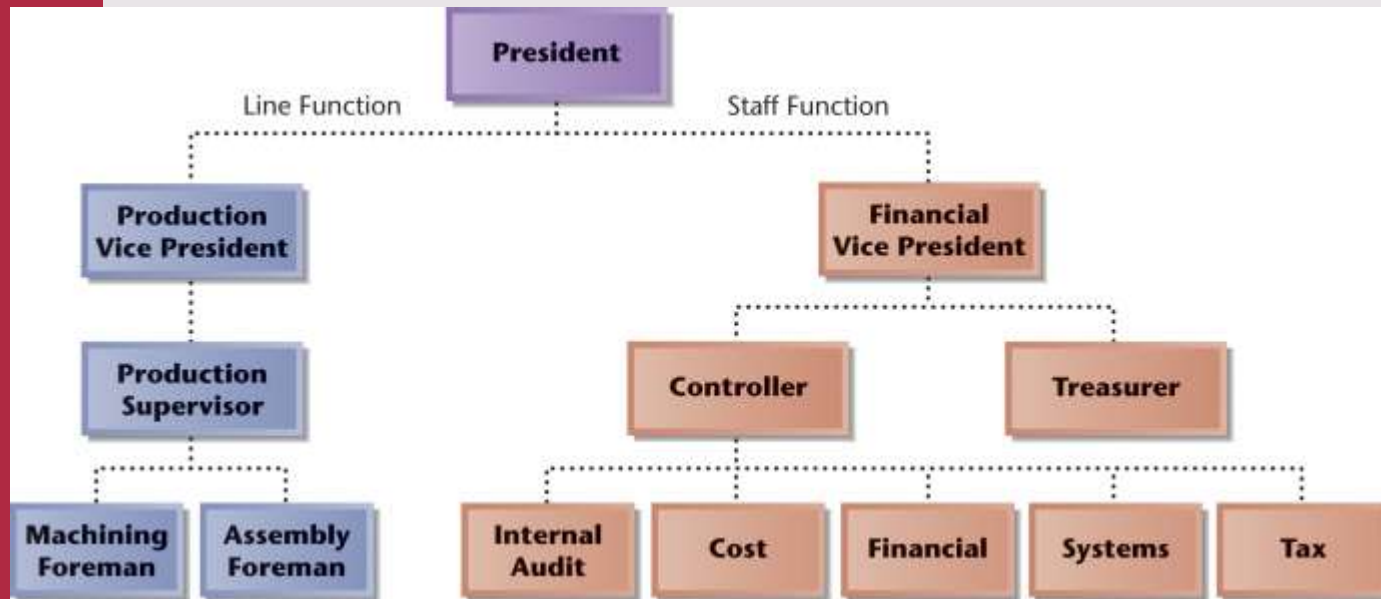


EXHIBIT 1-4

LEARNING OBJECTIVE

6

Explain importance of ethical behavior for managers & management accountants.



MANAGEMENT ACCOUNTING: Designed for Profit Maximization

“The objective of profit maximization should be constrained by the requirement that profits be achieved through legal and ethical means.”¹

¹Hansen & Mowen, 2007, p. 17



SUPPORT FOR ETHICAL BEHAVIOR

- ✧ Company codes of conduct
- ✧ Sarbanes-Oxley requirements
- ✧ IMA standards of conduct for management accountants ensure that management accountants maintain
 - ✧ Competence
 - ✧ Confidentiality
 - ✧ Integrity
 - ✧ Objectivity
 - ✧ Ability for conflict resolution



LEARNING OBJECTIVE

7

List **3** forms of certification available to management accountants.



What does “certification” mean for an accountant?

What certifications are available to management accountants?



CERTIFICATION

- ✧ Signifies the accountant has met requirements for
 - ✧ Education
 - ✧ Experience
- ✧ Signifies the accountant has passed a qualifying examination



3 CERTIFICATIONS

- ✱ CMA (Certified Management Accountant)
 - ✱ Meets needs for knowledge of economics, financial & managerial accounting, decision analysis & information systems
- ✱ CPA (Certified Public Accountant)
 - ✱ Meets needs for knowledge of external auditor
- ✱ CIA (Certified Internal Auditor)
 - ✱ Meets specialized needs in internal auditing yet similar to knowledge of management accountant



CHAPTER 1

THE END